LG Electronics (066570 KS)

3Q26 review: underlying strength and growth beyond numbers

Sun-young Kou
Electronics/Parts
sunyoung.kou@yuantakorea.com

3Q26P review: core businesses remain resilient

The company posted preliminary 3Q26 consolidated revenue of W23.8270tn (+8.9% YoY) and OP of W781.8bn (OPM 3.3%), with OP substantially below consensus. However, separate OP exceeded W700bn, indicating stable underlying profitability. Revenue was affected by forex rates and deferred revenue recognition for the Vehicle Solution (VS) business, while OP reflected investment in new businesses, including AI data centers and robotics, as well as some voluntary retirement costs. By division, Home Appliance Solution (HS) and Media Entertainment Solution (MS) met expectations. In HS, the two-track strategy delivered clear benefits despite forex headwinds, while revenue continued to grow across Global South markets, including India. MS remained profitable, supported by solid sales growth in premium products such as OLED TVs, efforts to improve the cost structure, and growth in the webOS business.

Beyond the core: AI data centers first, then robotics

The company's two growth pillars are: 1) AI data centers; and 2) robotics. AI data centers are close to contributing to earnings. The company had already secured W600bn in orders as of 1H26 and recently signed a contract to supply cooling solutions for 5GW of AI data center capacity in North America. Its order backlog is expected to reach as high as W3.5tn by end-2026, primarily in the US and the Middle East. Revenue can typically be recognized within seven to nine months of completing qualification tests, suggesting that the AI data center business could contribute to the Eco Solution (ES) division's earnings from 2H27. The company is implementing concrete plans to commercialize its robotics technology, centered on its AXIUM robot actuators. It is conducting tests with 200 CLOiD robots at its Yangjae Data Factory. Technical strengths, including high-efficiency designs, superior efficiency to competing products of the same size, and the use of existing heat dissipation technology, should position robotics as the next growth driver after AI data centers.

Maintain BUY; revise up target price to W280,000

We focus on the structural recovery in core earnings capacity, revenue contributions from new businesses such as AI data centers and robot actuators, and increasingly concrete commercialization plans. HVAC revenue contributions are expected from 2H27, followed by the commercialization of robotics, strengthening the case for a valuation re-rating driven by new businesses. Continued evidence of stable growth in core businesses, including resilient HS performance and improving MS profitability, is also positive. We revise up our target price to W280,000 by applying a target P/B of 1.5x to 2027E BPS and maintain BUY.

BUY (M)

Target price	W280,000 (Up)
Previous target price	W240,000
Current price (Oct 07)	W208,000
Upside potential	35%

Market cap (Wbn)	33,880
Shares outstanding	180,065,937
Avg daily T/O (2M, Wbn)	198
Avg daily volume (2M, shrs)	1,033,715
52-week high/low (won)	392,500 / 76,400
Foreign ownership (%)	29.67%
Dividend yield (%)	1.47%
Major shareholders	LG Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	(2.8)	10.0	172.3
Relative	(0.1)	23.8	42.0
Abs (US$)	(2.8)	25.4	184.4

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	23,827	8.9	0.0	24,215	-1.6
OP	782	13.5	-50.5	1,030	-24.1
Pre-tax net profit	353	-37.7	-71.5	879	-59.8
Net profit, CI	253	-34.3	-62.1	641	-60.5
OPM (%)	3.3	+0.2 %pt	-3.3 %pt	4.3	-1.0 %pt
NPM (%)	1.1	-0.7 %pt	-1.7 %pt	2.6	-1.5 %pt

Note: CI = controlling interest

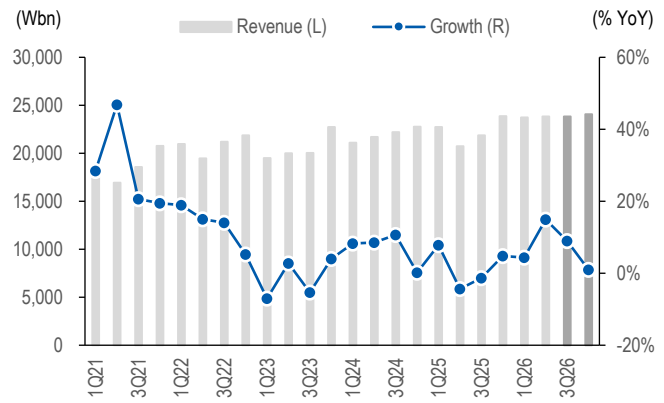
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	87,728	89,201	95,454	100,858
OP	3,420	2,478	4,438	4,831
Net profit, CI	368	961	1,730	2,203
P/E (x)	45.7	13.9	19.9	15.5
P/B (x)	0.8	0.6	1.3	1.1
EV/EBITDA (x)	4.0	3.9	5.3	4.4
ROE (%)	1.8	4.3	6.6	7.1

Source: Yuanta Securities

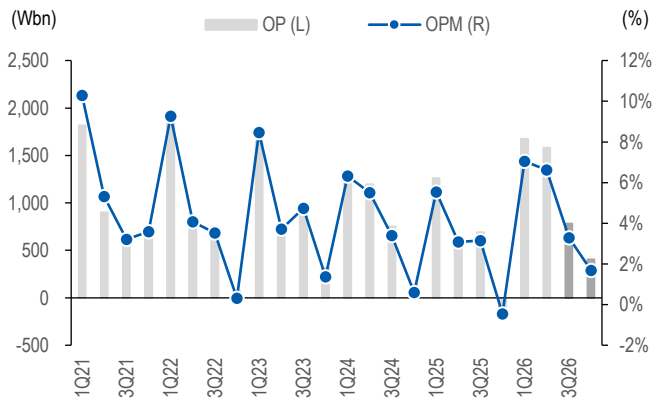
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

LG Electronics: revenue and YoY growth



Source: company data, Yuanta Securities

LG Electronics: OP and OPM



Source: company data, Yuanta Securities

LG Electronics: earnings forecast revisions

(Wbn)	3Q26P			2026E			2027E		
	New	Old	Chg	New	Old	Chg	New	Old	Chg
Revenue (consol)	**23,827**	**23,158**	**668.8**	**95,454**	**95,082**	**372.8**	**100,858**	**99,856**	**1,002.1**
Revenue (separate)	**17,568**	**16,799**	**768.6**	**70,844**	**69,977**	**867.5**	**74,298**	**73,101**	**1,196.5**
HS	7,221	6,856	365.2	27,826	27,393	433.2	29,754	29,142	612.6
MS	5,079	4,990	89.2	20,783	20,693	89.2	21,011	21,011	0.0
VS	2,905	2,551	354.9	11,746	11,392	354.9	13,267	12,732	535.0
ES	2,161	2,232	-70.8	9,316	9,387	-70.8	9,462	9,534	-72.6
OP (consol)	**782**	**966**	**-183.8**	**4,438**	**4,639**	**-201.6**	**4,831**	**5,009**	**-178.0**
OP (separate)	**703**	**646**	**57.2**	**3,404**	**3,338**	**65.9**	**3,391**	**3,422**	**-31.2**
OPM (consol)	**3.3%**	**4.2%**	**-0.9%p**	**4.6%**	**4.9%**	**-0.2%p**	**4.8%**	**5.0%**	**-0.2%p**
OPM (separate)	**4.0%**	**3.8%**	**+0.2%p**	**4.8%**	**4.8%**	**+0.0%p**	**4.6%**	**4.7%**	**-0.1%p**

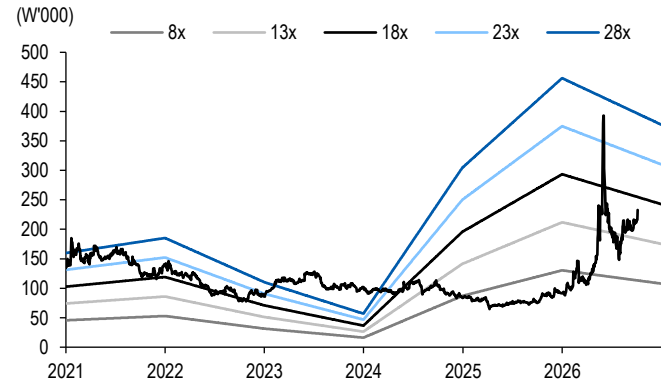
Source: Yuanta Securities

LG Electronics: target price calculation

	Value	Note
BPS (won)	186,278	2027E BPS
Target P/B (x)	**1.5**	**Upper end of 2020-2025 P/B band**
Target price (won)	**280,000**	**BPS x target P/B**
Current price (won)	208,000	
Upside (%)	35%	

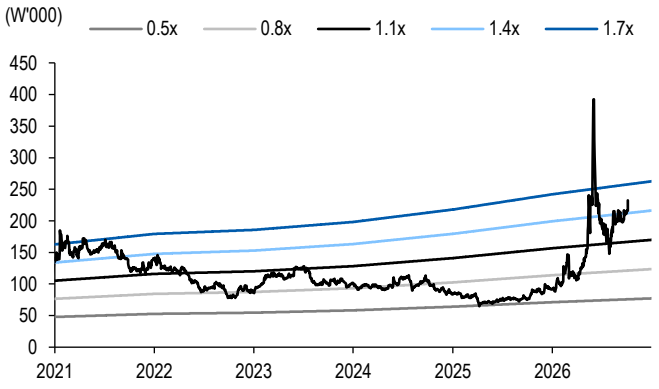
Note: as of Jul 7, Source: Yuanta Securities

LG Electronics: 12-month-forward P/E band



Source: Yuanta Securities

LG Electronics: 12- month-forward P/B band



Source: Yuanta Securities

LG Electronics: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales (consolidated)	**22,740**	**20,735**	**21,874**	**23,852**	**23,727**	**23,830**	**23,827**	**24,074**	**89,201**	**95,454**	**100,858**
HS	6,697	6,594	6,580	6,254	6,943	7,236	7,221	6,586	26,144	27,826	29,754
MS	4,950	4,393	4,653	5,430	5,169	5,124	5,079	5,419	19,426	20,783	21,011
VS	2,843	2,849	2,647	2,796	3,064	3,019	2,905	2,751	11,136	11,746	13,267
ES	3,054	2,644	2,167	1,457	2,822	2,718	2,161	1,606	9,323	9,316	9,462
Other	365	458	586	416	304	845	200	204	1,825	1,173	804
Sales (separate)	**17,910**	**16,939**	**16,633**	**16,354**	**18,303**	**18,941**	**17,568**	**16,566**	**67,854**	**70,844**	**74,298**
LG Innotek	4,983	3,935	5,369	7,610	5,535	4,889	6,259	7,507	21,897	24,829	26,560
OP (consolidated)	**1,259.1**	**639.4**	**688.9**	**-109.0**	**1,673.7**	**1,578.8**	**781.8**	**403.1**	**2,478.4**	**4,437.7**	**4,830.7**
HS	644.6	439.9	365.9	-171.1	569.7	578.9	267.2	65.9	1,284.0	1,588.7	1,635.7
MS	4.9	-191.7	-302.6	-261.5	371.8	297.2	193.0	-189.7	-750.9	594.5	229.3
VS	125.1	126.2	149.6	158.1	211.6	187.2	161.4	187.1	559.0	751.2	942.0
ES	406.7	250.5	132.9	-142.8	248.5	267.4	85.6	-65.6	647.3	504.3	584.4
Other	-47.0	-1.2	132.4	-35.0	-25.9	50.4	-4.2	0.8	53.4	-34.5	-0.7
OP (separate)	**1,134.3**	**623.7**	**478.2**	**-452.3**	**1,375.7**	**1,381.1**	**703.0**	**-1.5**	**1,792.7**	**3,404.2**	**3,390.7**
LG Innotek	125.1	11.4	203.7	324.7	295.3	197.7	78.7	404.6	664.9	1,024.4	1,440.0
OPM (%) (consolidated)	**5.5%**	**3.1%**	**3.1%**	**-0.5%**	**7.1%**	**6.6%**	**3.3%**	**1.7%**	**2.8%**	**4.6%**	**4.8%**
HS	9.6%	6.7%	5.6%	-2.7%	8.2%	8.0%	3.7%	1.0%	4.9%	5.7%	5.5%
MS	0.1%	-4.4%	-6.5%	-4.8%	7.2%	5.8%	3.8%	-3.5%	-3.9%	2.9%	1.1%
VS	4.4%	4.4%	5.7%	5.7%	6.9%	6.2%	5.6%	6.8%	5.0%	6.4%	7.1%
ES	13.3%	9.5%	6.1%	-9.8%	8.8%	9.8%	4.0%	-4.1%	6.9%	5.4%	6.2%
Other	-12.9%	0.0%	22.6%	-8.4%	-8.5%	8.2%	-2.1%	0.4%	2.9%	-2.9%	-0.1%
OPM (separate)	**6.3%**	**3.7%**	**2.9%**	**-2.8%**	**7.5%**	**7.3%**	**4.0%**	**0.0%**	**2.6%**	**4.8%**	**4.6%**
LG Innotek	2.5%	0.3%	3.8%	4.3%	5.3%	4.0%	1.3%	5.4%	3.0%	4.1%	5.4%

Source: Yuanta Securities

LG Electronics (066570 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**87,728**	**89,201**	**95,454**	**100,858**	**102,875**
Cost of sales	66,349	68,359	71,010	73,991	75,099
Gross profit	21,379	20,842	24,445	26,867	27,776
SG&A	17,960	18,363	20,007	22,036	22,633
Operating profit	**3,420**	**2,478**	**4,438**	**4,831**	**5,144**
EBITDA	6,954	6,080	7,877	8,103	8,378
Non-operating profit	-2,084	-642	-1,453	-1,498	-1,231
Forex gains	-87	18	-829	-1,532	-1,532
Net interest income	-71	-191	-120	95	362
Equity-method gains	-992	111	-60	538	538
Other	-933	-581	-443	-599	-599
Net prof before income tax	1,336	1,836	2,985	3,333	3,913
Income tax	463	608	910	756	1,128
Net profit from continuing ops	873	1,228	2,075	2,576	2,785
Net profit from discontinued ops	-282	-8	0	0	0
Net profit	591	1,220	2,075	2,576	2,785
NP for controlling interest	**368**	**961**	**1,730**	**2,203**	**2,381**
Total comprehensive income	2,068	2,062	5,422	5,462	5,670
Total comprehensive income, CI	1,620	1,715	4,649	4,697	4,877

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**33,924**	**34,870**	**39,273**	**46,645**	**52,768**
Cash & cash equivalents	7,573	8,770	12,931	18,873	24,461
Accounts receivables & other	11,345	11,928	12,038	12,692	12,924
Inventory	10,729	11,085	11,188	11,795	12,031
Non-current assets	31,706	33,750	34,848	34,146	34,014
Tangible assets	17,075	16,714	17,425	17,125	17,431
Investment in affiliates	2,776	2,797	2,823	2,977	3,036
Other investment assets	1,268	1,243	1,334	1,372	1,387
Total assets	**65,630**	**68,620**	**74,121**	**80,791**	**86,782**
Current liabilities	27,307	27,183	28,637	29,992	30,518
Accounts payable & other	19,401	20,217	20,404	21,512	21,942
ST financial liabilities	564	482	516	516	516
Liquid LT liabilities	2,325	1,982	3,173	3,173	3,173
Non-current liabilities	13,110	12,885	11,879	11,975	12,013
LT financial liabilities	4,713	4,863	4,370	4,370	4,370
Debentures	6,380	5,317	4,793	4,793	4,793
Total liabilities	**40,418**	**40,068**	**40,516**	**41,967**	**42,530**
Equity, controlling interest	20,995	23,887	28,434	33,280	38,303
Paid-in capital	904	904	904	904	904
Capital surplus	2,970	4,329	3,100	3,100	3,100
Retained earnings	16,353	17,419	19,068	21,028	23,166
Equity, non-controlling interest	4,217	4,665	5,171	5,544	5,948
Total equity	**25,212**	**28,552**	**33,605**	**38,824**	**44,251**
Net debt	**6,833**	**5,180**	**1,225**	**-4,698**	**-10,278**
Total debt	15,302	14,024	14,230	14,254	14,263

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**3,843**	**4,281**	**10,050**	**11,728**	**12,289**
Net profit	591	1,220	2,075	2,576	2,785
Depreciation & amortization	2,993	3,040	2,743	2,677	2,723
Forex gains	0	0	766	1,532	1,532
Affiliate investment gains	992	-111	60	-538	-538
Increase in net working cap	-3,797	-2,043	1,223	2,446	2,837
Other	3,063	2,174	3,183	3,035	2,952
Investing cash flow	**-4,212**	**-3,014**	**-2,437**	**-25**	**-555**
Investment	-511	-149	-80	-192	-74
Increase in tangible assets	-2,356	-2,615	-2,983	-2,378	-3,028
Decrease in tangible assets	41	102	28	0	0
Other	-1,386	-351	598	2,545	2,547
Financing cash flow	**-705**	**-319**	**-851**	**-219**	**-234**
ST financial liabilities	-101	-39	37	24	9
Debenture/LT financial liabilities	827	-1,240	169	0	0
Equity	-55	1,359	-1,229	0	0
Cash dividend	-317	-266	-328	-243	-243
Other cash flow	-1,060	-133	499	0	0
Consolidation adj and other	159	249	-2,601	-5,542	-5,912
Increase in cash & equivalents	**-915**	**1,197**	**4,161**	**5,942**	**5,588**
Beginning cash & equivalents	8,488	7,573	8,770	12,931	18,873
Ending cash & equivalents	7,573	8,770	12,931	18,873	24,461
NOPLAT	3,420	2,478	**4,438**	**4,831**	**5,144**
FCF	**1,486**	**1,665**	**7,066**	**9,350**	**9,261**

Valuation

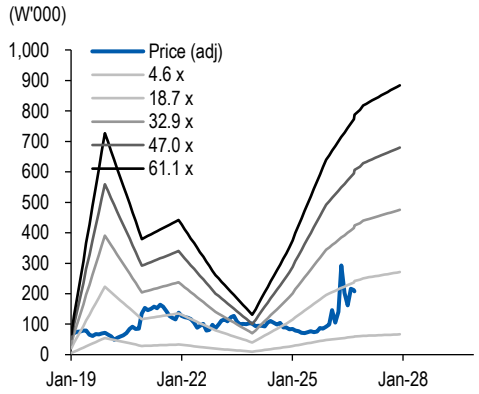
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	2,136	5,734	10,477	13,378	14,472
BPS (won)	116,595	132,659	158,553	185,571	213,583
EBITDA/shr (won)	38,453	33,684	43,745	45,000	46,527
SPS (won)	485,132	494,153	530,102	560,117	571,320
DPS (won)	1,000	1,350	1,350	1,350	1,350
P/E (x)	**45.7**	**13.9**	**19.9**	**15.5**	**14.4**
P/B (x)	**0.8**	**0.6**	**1.3**	**1.1**	**1.0**
EV/EBITDA (x)	**4.0**	**3.9**	**5.3**	**4.4**	**3.7**
P/S (x)	**0.2**	**0.2**	**0.4**	**0.4**	**0.4**

Key financial data

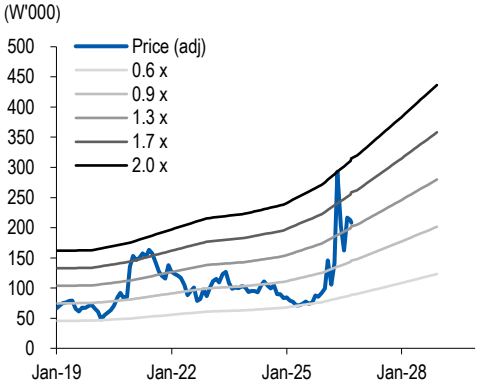
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**6.6**	**1.7**	**7.0**	**5.7**	**2.0**
Operating profit (%YoY)	**-6.4**	**-27.5**	**79.1**	**8.9**	**6.5**
Net profit, CI (%YoY)	**-48.4**	**161.4**	**80.1**	**27.3**	**8.1**
Gross margin (%)	24.4	23.4	25.6	26.6	27.0
Operating margin (%)	**3.9**	**2.8**	**4.6**	**4.8**	**5.0**
Net margin, CI (%)	0.4	1.1	1.8	2.2	2.3
EBITDA margin (%)	7.9	6.8	8.3	8.0	8.1
ROIC (%)	10.6	7.4	13.4	16.2	16.3
ROA (%)	0.6	1.4	2.4	2.8	2.8
ROE (%)	**1.8**	**4.3**	**6.6**	**7.1**	**6.7**
Debt-to-equity (%)	160.3	140.3	120.6	108.1	96.1
Net debt-to-equity (%)	32.5	21.7	4.3	-14.1	-26.8
OP/financing cost (x)	6.0	4.1	7.0	7.5	7.9

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

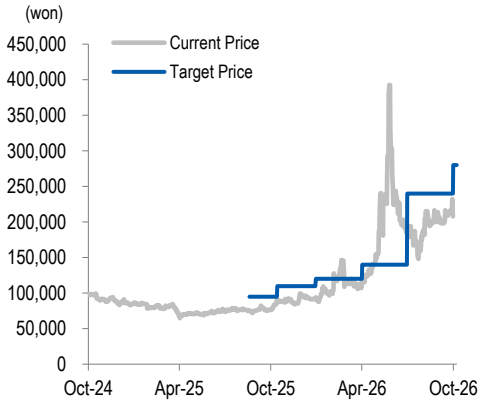
P/E band chart



P/B band chart



LG Electronics (066570 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/08	BUY	280,000	1 yr		
2026/07/08	BUY	240,000	1 yr	-19.23	-3.13
2026/04/09	BUY	140,000	1 yr	41.55	180.36
2026/01/06	BUY	120,000	1 yr	-7.92	22.25
2025/10/21	BUY	110,000	1 yr	-17.60	-9.36
2025/08/26	BUY	95,000	1 yr	-18.00	-4.21

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 08, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)